

BigBear.ai Holdings, Inc.

BBAI NYSE

Hold	\$3.83 ▼ 2.30%	12M Price Target \$4.50	52-Week Range \$3.01 – \$9.39	Market Cap \$1.83B
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BBAI: Stuck in a Range, Story Still Unproven

WHAT'S CHANGED

- BBAI drifted down another 2.3% today to \$3.83 — basically the lowest end of its 52-week range (\$3.01–\$9.39). Stock is bleeding slowly with no major catalyst.
- Several Zacks articles this week piled on the same theme: valuation looks rich, and rising SG&A (that's "selling, general & administrative" — basically the cost of running the business: salaries, marketing, office stuff) is eating into the AI growth story.

IMPLICATIONS

The stock is in "show me" mode — investors aren't willing to pay up anymore until BigBear proves they can grow revenue faster than expenses. The slow bleed on 30M+ daily volume tells you institutions are quietly trimming, not panicking, but also not buying the dip. If you own this, you're basically waiting for the next earnings report to either reignite the story or confirm the skeptics.

VALUATION

At \$1.83B market cap on roughly \$195M expected revenue, investors are paying about \$9 for every \$1 of sales — that's expensive for a company still losing money. Compare that to a profitable enterprise software name trading at \$5-7 per dollar of revenue, and you see the issue. I see maybe 15-20% upside to a fair value around \$4.50, but 30-40% downside if they miss a quarter, so the risk/reward isn't great here.

KEY RISKS

- They're not profitable and burning cash — at some point they'll likely issue more stock to raise money, which dilutes existing shareholders (your slice of the pie gets smaller).
- Heavy dependence on government contracts means a budget cut or lost contract can crater a quarter overnight.
- The CFO sold shares last month — not a huge amount, but insiders selling while the stock is already down isn't the confidence signal you want to see.

RECENT NEWS

- Can BigBear.ai Balance Rapid AI Innovation With Rising SG&A Expenses?** Zacks · 2026-06-19 14:23
- SoundHound's Drive-Thru AI Shows ROI: Can Restaurant Rollouts Scale?** Zacks · 2026-06-18 14:28
- BigBear.ai's Valuation Is Rich, but Is the AI Opportunity Richer?** Zacks · 2026-06-18 13:57
- BigBear.ai Holdings, Inc. (BBAI) Suffers a Larger Drop Than the General Market: Key Insigh...** Zacks · 2026-06-16 22:00

Key Data

Price (USD)	\$3.83
12M Price Target	\$4.50
Upside / (Downside)	+17.5%
Market Cap	\$1.83B
FY2026E Revenue	\$195M
FY2027E Revenue	\$245M
FY2026E EPS	(\$0.32)
FY2027E EPS	(\$0.18)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$4.50	\$3.90	\$3.20
6 Months	\$5.50	\$4.25	\$2.80
1 Year	\$7.00	\$4.50	\$2.50
2 Years	\$9.00	\$5.50	\$2.00
5 Years	\$15.00	\$7.00	\$1.50
10 Years	\$25.00	\$10.00	\$1.00

SECTOR INTELLIGENCE

HEATING UP: Technology (+3.98% over 5 days) and Industrials (+3.19%) — money is flowing into AI and defense/infrastructure names.

COOLING OFF: Energy (-6.06%), Real Estate (-2.95%), and Healthcare (-2.44%) are all losing ground.

ROTATION WATCH: Money is moving out of defensive, yield-y sectors and back into growth/tech — which should help BBAI, but it's not catching the wave. That's a red flag: when your sector is hot and you're still going down, the problem is company-specific.

RELATED PLAY: If you like the government AI theme but want something more proven, look at Palantir (PLTR) — bigger, profitable, and actually executing. SoundHound (SOUN) is the more direct small-cap AI comp.

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir): The gold standard of government AI — profitable, growing 30%+, and the stock reflects it.
- SOUN (SoundHound AI): Getting credit for real revenue traction in drive-thru AI rollouts; trades at a premium but has the wins to back it up.

BBAI CONTEXT: BBAI is lagging badly. Tech is up nearly 4% on the week, peers are getting bid up, and BBAI is sitting near 52-week lows. That's the market telling you something.

INVESTMENT STRATEGY

5/10 Conviction Score

CONVICTION: 5/10 — interesting story, real revenue, but not enough proof yet to back up the truck. The lagging price action while the sector rallies is a yellow flag.

POSITION SIZE: 1-2% of portfolio max — this is speculative. Small enough that if it drops 50% you don't lose sleep, big enough to matter if it doubles.

ENTRY POINTS: I'd wait for \$3.00-3.25 (basically a retest of the 52-week low) or a clear breakout above \$4.50 on big volume — don't chase it in the middle.

TIME HORIZON: 12-24 months. You need at least 2-3 earnings reports to see if the revenue story holds up.

WHEN TO BAIL: Sell if (1) they announce a stock offering to raise cash, (2) revenue growth drops below 20% year-over-year, or (3) it breaks below \$3.00 on heavy volume.

HEDGING: Keep the position small — that's your hedge. If you want to get fancy, you could buy puts (the right to sell at a set price) as cheap insurance, but for a \$3 stock it's usually not worth the cost. Better: just size it small.